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Key Definitions and Measures

9.0 Manage Financial Resources

APQC's Process Classification Framework (PCF)® is a reliable and robust framework used by hundreds of leading companies worldwide. The PCF is made up of 13 categories, as seen in Figure 1. This article highlights the definitions for each element for category **9.0 Manage Financial Resources**, specifically. If you're looking to learn more about the PCF, or download the PCF itself, please visit www.apqc.org/process-frameworks.

APQC's Process Classification Framework (PCF)®



Figure 1

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Structure of the Article

Throughout this article, you will see multiple tables, with different colored headers. They relate to the levels of the PCF (Figure 2).

PCF Levels

LEVEL 1 CATEGORY	11.0 Manage Enterprise Risk, Compliance, Remediation and Resiliency (16437) Represents the highest level of process in the enterprise in general groupings such as manage customer service, supply chain, finance, and human capital.
LEVEL 2 PROCESS GROUP	11.1 Manage Enterprise Risk (17060) Groups of processes that are part of executing a category. Examples include perform after sales repairs, procurement, accounts payable, recruit/source, and develop sales strategy.
LEVEL 3 PROCESS	11.1.3 Manage Business Unit and Function Risk (17462) A single process that may include elements related to variants and rework in addition to the core elements needed to accomplish the process. Examples include invoice customer and develop and manage IT security, privacy, and data protection.
LEVEL 4 ACTIVITY	11.1.3.3 Develop Mitigation Plans for Risks (16458) A key step performed to execute a process. Examples include maintain chart of accounts and develop salary/compensation structure and plan.
LEVEL 5 TASK	11.1.3.3.1 Assess Adequacy of Insurance Coverage (18129) An element of work that goes into executing an activity. They are generally much more fine-grained and may vary widely across industries. Examples include create a business case and obtain funding, and design recognition and reward approaches.

Figure 2

Below is a definition of the different elements and numbers you will see throughout the article.

Element Name

This is the name of the element within the PCF. For example, “Manage supply chain for physical products,” as seen in Figure 3.

4.0 Manage supply chain for physical products (20022)
Performing supply chain activities include planning supply chain, procuring materials and services, and managing logistics.

Figure 3

Hierarchy ID

In the PCF, there are identifying numbers to the left of each process element. These numbers are called hierarchy ID numbers and are used by people to help quickly locate a specific process element. Figure 4 has an example of “4.0.”

4.0 Manage supply chain for physical products (20022)
Performing supply chain activities include planning supply chain, procuring materials and services, and managing logistics.

Figure 4

Element ID

The numbers to the right of the process elements (20022 in Figure 5) are called process element identification numbers. Each process element in the PCF has a unique five-digit reference number.

4.0 Manage supply chain for physical products (20022)
Performing supply chain activities include planning supply chain, procuring materials and services, and managing logistics.

Figure 5

Element Definition

Each element in the cross-industry PCF has a definition associated with it. The definition is designed to provide detail and information around what type of work the element consists of.

In Figure 6, and for all elements in this article, you’ll find the definition directly under the colored heading that contains the name of the process element.

4.0 Manage supply chain for physical products (20022)
Performing supply chain activities include planning supply chain, procuring materials and services, and managing logistics.

Figure 6

Outside of the Key Definitions articles (like this one), element definitions can be found in the [Excel version](#) of the PCF, which includes a tab that has definitions for each element.

Key Performance Indicators (KPIs)

A KPI is a specific measure used to gauge a quantifiable component of an organization’s performance at the functional, process, or activity level.

KPIs typically correspond to the organization’s critical success factors and business goals.

Throughout this article, KPIs (when available) will show up in a table underneath the element definition (Figure 7). The KPIs will be listed in the right column and the metric IDs will be listed in the left column.

4.1 Plan for and align supply chain resources (10215)	
Creating strategies for production and materials. Handle the demand for the products of the organization. Develop plans for handling materials. Develop and administer the schedule for master production. Plan for distribution requirements and its constraints by reviewing and assessing distribution policies and performance and by establishing quality standards and procedures.	
Suggested KPIs for Process Group 4.1 Plan for and align supply chain resources (10215)	
Metric ID	KPI
100395	Cash-to-cash cycle time in days
100654	Demand/supply planning costs per \$1,000 revenue

Figure 7

Metric ID

Where KPIs are available, there is a metric ID included for KPIs that can be found in [APQC's Benchmarks on Demand portal](#). The metric ID can be utilized by organizations to search for data related to that metric, such as top, bottom, and median performers.

Throughout this article, KPIs (when available) will show up as a table underneath the element definition (Figure 8). The KPIs will be listed in the right column and the metric IDs will be listed in the left column.

4.1 Plan for and align supply chain resources (10215)	
Creating strategies for production and materials. Handle the demand for the products of the organization. Develop plans for handling materials. Develop and administer the schedule for master production. Plan for distribution requirements and its constraints by reviewing and assessing distribution policies and performance and by establishing quality standards and procedures.	
Suggested KPIs for Process Group 4.1 Plan for and align supply chain resources (10215)	
Metric ID	KPI
100395	Cash-to-cash cycle time in days
100654	Demand/supply planning costs per \$1,000 revenue

Figure 8

Definitions and Suggested Key Performance Indicators (KPIs)

9.0 Manage Financial Resources (17058)	
Overseeing key back-office processes for organizations. This category includes process groups related to planning and management accounting, revenue accounting, general accounting and reporting, fixed-asset project accounting, payroll, accounts payable and expense reimbursements, treasury operations, internal controls, tax management, international funds/consolidation, and global trade services.	
Suggested KPIs	
Metric ID	KPI
100959	Number of finance function FTEs per \$1 billion revenue
102860	Personnel cost to perform finance function per finance function FTE
103538	Total cost to perform finance function as a percentage of revenue

9.1 Perform planning and management accounting (10728)	
Determining different stages of the planning process and accounting. Classify, determine, analyze, interpret, and communicate information to make up-to-date business decisions for better management and control functions.	
Suggested KPIs	
Metric ID	KPI
100160	Cycle time in days to complete the annual budget
100604	Cycle time in days to prepare the financial forecast
101019	Number of FTEs that perform the process "evaluate and manage financial performance" per \$1 billion revenue
101089	Number of FTEs that perform the processes "perform cost accounting and control" and "perform cost management" per \$1 billion revenue
101098	Number of FTEs that perform the process "perform planning/budgeting/forecasting" per \$1 billion revenue
103679	Total cost to perform the process "evaluate and manage financial performance" per \$1,000 revenue
103802	Total cost to perform the processes "perform cost accounting and control" and "perform cost management" per \$1,000 revenue
105145	Total cost to perform the process group "perform planning and management accounting" per \$1,000 revenue
103813	Total cost to perform the process "perform planning/budgeting/forecasting" per \$1,000 revenue

9.1.1 Develop and manage financial resources strategy (21694)

Ensuring the effective allocation, utilization, and sustainability of financial assets. Activities include analyzing internal and external financial drivers; identifying long-term funding needs; evaluating investment, capital, and liquidity requirements; and defining guiding financial principles that support enterprise objectives.

9.1.2 Perform planning/budgeting/forecasting (10738)

Allocating funds to meet future and current financial goals. Led by the chief financial officer, have the finance function plan, budget, and forecast in order to determine and describe long and short-term financial goals.

9.1.2.1 Develop and maintain budget policies and procedures (10771)

Formulating financial budgetary guidelines and strategies. Develop a framework for rules and regulations regarding budgets. Create a step-by-step process to achieve financial goals.

9.1.2.2 Prepare periodic budgets and plans (10772)

Creating reports on a quarterly or annual basis for fund allocation. Create a financial statement that estimates revenues and expenses over a specific period of time. (Leverage budget methods such as cost-based and zero-based budgeting techniques, in light of the periodic targets outlined during Develop and maintain budget policies and procedures [10771].)

9.1.2.3 Operationalize and implement plans to achieve budget (20135)

Putting budgeting plans into practical use keeping within designated forecasting parameters.

9.1.2.4 Prepare periodic financial forecasts (10773)

Creating estimates of the projected income and expenses required over a predetermined time frame. Develop the projections of profit and loss statements, balance sheets, and the cash flow forecast.

9.1.2.5 Perform variance analysis against forecasts and budgets (20136)

Conducting a quantitative analysis between what was forecasted and budgeted and actual financial behavior.

9.1.3 Perform cost accounting and control (10739)

Defining costs to be incurred and methods for optimum utilization. Determine the costs of products, processes, projects, etc. to compile in the financial statements, as well as to assist management in making decisions regarding planning and control. Control costs by managing and reducing business expenses.

9.1.3.1 Perform inventory accounting (10774)

Conducting accounting for assets, and finding reasons for changes (depreciation, obsolescence, deterioration, change in customer taste, increased demand, decreased market supply, etc.).

9.1.3.2 Perform profit center accounting (14057)

Determining the revenue, profits, and losses incurred by each unit within the organization that produces profit.

9.1.3.3 Perform cost of sales analysis (10775)

Studying expenses directly associated with product. Analyze the cost of sales, which is the cost of manufacturing products.

9.1.3.4 Perform product costing (10776)

Studying and finding out the relevant cost center for a product by studying every resource used in its making.

9.1.3.5 Perform variance analysis (10777)

Discovering the changes between forecasted and actual costing. Analyze actual and planned behavior by reviewing the amount of a variance on a trend line in order to maintain control over a business.

9.1.3.6 Report on profitability (11175)

Making a report about revenues generated by the organization or business unit concerned. This process requires the organization to create a report which shows how business is generating profits. Profits are the part which is left after paying all expenses directly related to the generation of the revenue, such as producing a product, and other expenses related to conducting business activities.

9.1.4 Perform cost management (10740)

Deciding which expenses can be avoided to reduce some costs and increase revenues. Plan and control the organization's budget to forecast future expenditures.

9.1.4.1 Determine key cost drivers (10778)

Defining cost drivers for a particular activity.

9.1.4.2 Measure cost drivers (10779)

Calculating cost drivers.

9.1.4.3 Determine critical activities (10780)

Determine the activities that hinder the progress of finance activities. This requires the organization to determine those business activities carried out by the financial function of the organization and which are indispensable. This undertaking helps the organization triangulate those activities which are essential and where costs cannot be slashed.

9.1.4.4 Manage asset resource deployment and utilization (10781)

Distributing or allocating asset resources in different processes for optimal utilization.

9.1.5 Evaluate and manage financial performance (10741)

Checking and achieving predetermined financial targets and timelines. Assess and manage the profitability, feasibility, and consistency of a business or project. Study the revenues generated.

9.1.5.1 Assess customer and product profitability (10782)

Studying product demand and targeted customer preferences. Study customers' demands or preferences after deducting the cost of delivering the final product.

9.1.5.2 Evaluate new products (10783)

Checking demand about a specific product by a customer segment. Conduct a detailed study--or research a customer behavior or preference for a product--in order to determine its production and profitability in a specific market.

9.1.5.3 Perform life cycle costing (10784)

Determining the cost of delivering an end product at different stages of production. Study the total life cycle of a product/process to determine how much revenue and production cost will be incurred at every stage in order to make strategic decisions.

9.1.5.4 Optimize customer and product mix (10785)

Creating the best fit between a product and the end user. Maximize the customer base by providing different products in the market.

9.1.5.5 Track performance of new-customer and product strategies (10786)

Observing the behavior of a new set of customers for different products. Prepare strategies to improve sales and profits.

9.1.5.6 Prepare activity-based performance measures (10787)

Evaluating performance based on different sets of activities created by management to measure performance.

9.1.5.7 Manage continuous cost improvement (10788)

Conducting activities to improve cost distribution regularly. Follow or adopt different ways of reducing costs.

9.2 Perform revenue accounting (10729)

Comparing revenue targets to reality. Review all transactions and entries passed in final accounts in a year in order to examine profits.

Suggested KPIs

Metric ID	KPI
100561	Cycle time in days for credit approval
100581	Cycle time in days from transmission of invoice to receipt of payment
100164	Cycle time in days to generate complete and correct billing data
100178	Days sales outstanding
101035	Number of FTEs that perform the process "invoice customer" per \$1 billion revenue
101048	Number of FTEs that perform the process "manage and process collections" per \$1 billion revenue
101109	Number of FTEs that perform the process "process accounts receivable (AR)" per \$1 billion revenue
101114	Number of FTEs that perform the process "process customer credit" per \$1 billion revenue
101280	Number of invoice line items processed per FTE that performs the process "invoice customer"
101287	Number of invoices processed per FTE that performs the process "invoice customer"
101395	Number of receipts processed per FTE that performs the process "process accounts receivable (AR)"
102142	Percentage of invoice line items processed error free the first time
101758	Percentage of total receipts that are processed error free the first time

103514	Total cost to perform the order to invoice processes per \$1,000 revenue
103702	Total cost to perform the process "invoice customer" per \$1,000 revenue
103709	Total cost to perform the process "invoice customer" per invoice processed
103846	Total cost to perform the process "process accounts receivable (AR)" per \$1,000 revenue
103850	Total cost to perform the process "process accounts receivable (AR)" per customer receipt
103859	Total cost to perform the process "process customer credit" per \$1,000 revenue
103712	Total cost to perform the process "manage and process adjustments/deductions" per \$1,000 revenue

9.2.1 Process customer credit (10742)

Evaluating and processing requests for advances. Evaluate credit requests by customers requiring loans to buy products/services.

9.2.1.1 Establish credit policies (10789)

Creating guidelines for providing advances. Set up credit standards, credit terms, and collection policies.

9.2.1.2 Analyze/Approve new account applications (10790)

Checking and accepting new requests based on eligibility criteria. Analyze the status of applicants and requirements to be met for a new account.

9.2.1.3 Analyze credit scoring history (14187)

Reviewing past credit scores to determine the if a line of credit will be extended to potential customers. This could also include extending additional credit to existing accounts.

9.2.1.4 Forecast credit scoring requirement (14188)

Planning credit score requirements based on established credit policies.

9.2.1.5 Review existing accounts (10791)

Evaluating existing account holders and their past performance. Regularly review existing accounts to get the required information about the status at present.

9.2.1.6 Produce credit/collection reports (10792)

Preparing account payable reports about payments to be made according to accounting rules and principles, and providing the reports to management.

9.2.1.7 Reinstate or suspend accounts based on credit policies (10793)

Closing or restarting accounts according to changes made in credit policies.

9.2.2 Invoice customer (10743)

Preparing detailed reports of customer purchases. Prepare a commercial document between the seller and customer with details about transaction. Detail the quantity purchased, price of products/services, date, parties involved, unique invoice number, and tax information.

9.2.2.1 Maintain customer/product master files (10794)

Creating and updating a record of customers and the products being purchased by them in a database. This process element requires the organization to maintain a database of customers and their purchases. Such a master-file can be used to ensure customer touch point, enhance customer satisfaction, explore cross selling opportunities, and identify future trends. This database will include several particulars about the personal details of the organization's customers and a tracking of the products being sold.

9.2.2.2 Generate customer billing data (10795)

Preparing detailed reports about products purchased by customers. Record and generate a detail account of transactions made by customers at a particular time and location. Include all details about products such as price, quantity, and name.

9.2.2.3 Transmit billing data to customers (10796)

Providing information to customers about purchases made by them. Communicate the details of purchases. Provide customers with a copy of details for their reference.

9.2.2.4 Post receivable entries (10797)

Registering transactions and their scheduled payments.

9.2.2.5 Resolve customer billing inquiries (10798)

Checking and solving billing queries raised by customers.

9.2.3 Process accounts receivable (AR) (10744)

Processing payments due from customers. This includes all processing of funds received, whether by check or electronically. This does not include the generation of invoices.

9.2.3.1 Establish AR policies (10799)

Creating rules and regulations to be followed in case of credit sales to customers. Create rules and procedures to follow at the time of sale (e.g., the allowable number of installments).

9.2.3.2 Receive/Deposit customer payments (10800)

Collecting cash from customers. Deposit it into bank account. Make entries into the books of accounts.

9.2.3.3 Apply cash remittances (10801)

Checking and moving funds between countries for business activities, typically through authorized remittance agents.

9.2.3.4 Prepare AR reports (10802)

Preparing reports that detail balances due or what to collect from customers at a certain point in time.

9.2.3.5 Post AR activity to the general ledger (10803)

Preparing the general ledger for account receivables from journals. Place all journal entries related to accounts receivables in the general ledger accounts of a business.

9.2.4 Manage and process collections (10745)

Posting entries to respective accounts, and preparing accounts for receivables. Manage the cash collected by the business from its debtors. Record it in the books of accounts to provide clear information about the availability of the cash.

9.2.4.1 Establish policies for delinquent accounts (10804)

Creating a process to follow in case of a failed payment by account holders. Create rules and regulations for the account holder who has failed to make at least the minimum monthly payment by the due date.

9.2.4.2 Analyze delinquent account balances (10805)

Examining balance statements of accountholders who failed to make required payments. Study or review the account details of customers' past payments when preparing negotiations policies.

9.2.4.3 Correspond/Negotiate with delinquent accounts (10806)

Determine ways for customers in default to repay debts (e.g., allowing more time or discounts).

9.2.4.4 Discuss account resolution with internal parties (10807)

Determining rules for handling accounts. Discuss and plan with internal parties (department heads, managers, and senior management) about rules to follow in coming months.

9.2.4.5 Process adjustments/write off balances (10808)

Maintaining reserves for write-offs and adjustments. Adjust or write off certain expenses and losses.

9.2.4.6 Perform recovery workout (14007)

Renegotiating the terms of a loan agreement in order to recoup money from a default account.

9.2.4.7 Manage default accounts (14008)

Managing accounts that have not met the requirements agreed upon to pay off outstanding debts.

9.2.5 Manage and process adjustments/deductions (10746)

Creating and providing funds for necessary adjustments and deductions, including all expenses that were required for the business at certain point in time.

9.2.5.1 Establish policies/procedures for adjustments (10809)

Creating guidelines to follow in case of adjustments to business processes.

9.2.5.2 Analyze adjustments (10810)

Checking changes made in accounts during the year. Examine the alterations made in final accounts to rectify errors/omissions.

9.2.5.3 Correspond/Negotiate with customer (10811)

Providing suitable offers to customers. Present different offers (e.g., discounts) available for customers or buyers.

9.2.5.4 Discuss resolution with internal parties (10812)

Discussing and planning with internal parties (department heads, managers, and senior management) about rules to follow in coming months.

9.2.5.5 Prepare chargeback invoices (10813)

Creating a mechanism for consumer protection in case of a higher price charged. When a supplier sells a product at a higher price to the distributor than the price they have set with the end user, submit a chargeback to the supplier to recover the money lost in the transaction.

9.2.5.6 Process related entries (10814)

Recording business transactions as they occur in order to provide a balanced accounts for financial reporting.

9.3 Perform general accounting and reporting (10730)

Making statements about business activities and functions. Prepare financial statements (balance sheet, income statement, statement of cash flows, and statement of stockholders' equity) according to accounting concepts and principles.

Suggested KPIs

Metric ID	KPI
100597	Cycle time in calendar days from producing monthly flash reports to completing the monthly consolidated financial statements
100162	Cycle time in days to complete the monthly consolidated financial statements
100594	Cycle time in days from producing annual flash reports to completing consolidated annual financial statements
100613	Cycle time in days to perform annual close at the site level
100981	Number of FTEs that perform the process group "perform general accounting and reporting" (excluding fixed assets) per \$1 billion revenue
101096	Number of FTEs that perform the process "perform general accounting" per \$1 billion revenue
101091	Number of FTEs that perform the process "perform fixed-asset accounting" per \$1 billion revenue
101765	Percentage of journal entry line items processed error free the first time
103550	Total cost to perform the process group "perform general accounting and reporting" (excluding fixed assets) per \$1,000 revenue

103551	Total cost to perform the process group "perform general accounting and reporting" (excluding fixed assets) as a percentage of revenue
103809	Total cost to perform the process "perform fixed-asset accounting" per \$1,000 revenue
103984	Total cost to perform the process "perform financial reporting" per \$1,000 revenue
103980	Total cost to perform the process "perform general accounting" per journal entry line item
103976	Total cost to perform the process "perform general accounting" per \$1,000 revenue

9.3.1 Manage financial policies and procedures (10747)

Creating procedures to perform general accounting and reporting. Follow the rules and regulations made for a particular process in the business. Publish accounting policies.

9.3.1.1 Negotiate service-level agreements (10815)

Agreeing upon terms and conditions. Negotiate an agreement between two or more parties, the customer and service providers. Specify scope, quality, and responsibilities.

9.3.1.2 Establish accounting policies (10816)

Establishing policies and procedures to prepare financial statements, including methods, measurement systems, and procedures for providing disclosures.

9.3.1.3 Publish accounting policies (20604)

Creating a written copy of agreed-upon procedures for preparing financial statements, and making them available to the public.

9.3.1.4 Set and enforce approval limits (10817)

Implementing parameters for accounting. Apply set conditions for any approval process.

9.3.1.5 Establish common financial systems (10818)

Establishing processes and procedures to exercise financial control and accountability. Record, verify, and report transactions that affect revenues, expenditures, assets, and liabilities.

9.3.2 Perform general accounting (10748)

Applying basic principles, concepts, and accounting practices in recording and preparing final accounts, and using accounting information in management.

9.3.2.1 Maintain chart of accounts (10819)

Preparing trial balance account from general ledgers. List all accounts used in the general ledger. Alter accounts according to business requirements.

9.3.2.2 Process journal entries (10820)

Making ledger and trial balance accounts from journal entries. This process requires the organization to record every transaction into accounts done by business. It is a base documents for preparing final accounts of company.

9.3.2.3 Process allocations (10821)

Allocating funds across functions. Apportion funds in line with the budgets created. Formalize allocations in centralized internal records.

9.3.2.4 Process period end adjustments (10822)

Updating journal entries to adjust the balance of income and expenses at the end of an accounting period.

9.3.2.5 Post and reconcile intercompany transactions (10823)

Checking accounts separately for a parent and subsidiary company. Manage relationship between a parent company and subsidiaries. Document intercompany transactions in separate financial statements.

9.3.2.6 Reconcile general ledger accounts (10824)

Reviewing general ledger accounts for a parent and subsidiaries companies. Validate the integrity of account balances on the company's general ledger of accounts. Review and compare general ledger accounts balances with source documents to ensure that balances match.

9.3.2.7 Perform consolidations and process eliminations (10825)

Aggregating different processes in the business. Eliminate discontinued processes.

9.3.2.8 Prepare trial balance (10826)

Balancing debit and credit balances of trial balance to preparing final accounts. Calculate the total debits and credits in company's accounts. Correspond the sum of all debits with the sum of all credits. Adjust entries as appropriate.

9.3.2.9 Prepare and post management adjustments (10827)

Accounting for changes due to country-level policy changes. Record adjustments made by management in the accounts.

9.3.3 Perform fixed-asset accounting (10749)

Accounting for long-term and fixed assets. Record purchased, fixed assets that are not easily convertible into cash. Account for costs, useful life, resale value, depreciation, and amortization.

9.3.3.1 Establish fixed-asset policies and procedures (10828)

Creating rules for fixed assets market valuation. Make rules and regulations for fixed assets regarding depreciation, provisions, resale, usage, etc.

9.3.3.2 Maintain fixed-asset master data files (10829)

Keeping reports up-to-date regarding fixed assets. Create a fixed assets database detailing price, life cycle, depreciation rate, resale value, installation information, usage information, etc.

9.3.3.3 Process and record fixed-asset additions and retires (10830)

Keeping a summary of sales and purchases of assets. Record any expenses made for new assets purchased and sales of any old assets during the fiscal year.

9.3.3.4 Process and record fixed-asset adjustments, enhancements, revaluations, and transfers (10831)

Keeping a summary of expenses for installing and modifying assets. Record any expenses made for new assets purchased, any expenses incurred on improvements, the valuation of assets to reach current market price, and any transfer assets from one location to another during the fiscal year.

9.3.3.5 Process and record fixed-asset maintenance and repair expenses (10832)

Maintaining a record of expenses necessitated for repairs and the preservation of assets. Administer and oversee the maintenance and repair of any fixed assets. Record all related transactions.

9.3.3.6 Calculate and record depreciation expense (10833)

Carrying out accounting for depreciation over fixed assets. Compute the sums necessitated. Maintain a record of the cost value of fixed assets over their useful life in the book of accounts.

9.3.3.7 Reconcile fixed-asset ledger (10834)

Balancing the ledger account balance for fixed assets. Correct errors in the books of fixed assets. Provide correct information in relevant accounts.

9.3.3.8 Track fixed-assets including physical inventory (10835)

Checking and updating the record of all raw materials and fixed assets. Track all fixed asset. Maintain a record of all inventory items.

9.3.3.9 Provide fixed-asset data to support tax, statutory, and regulatory reporting (10836)

Showing market value and related expenses on fixed assets data for taxation. Provide complete information recorded in the books of fixed assets about purchase price, depreciation, installation charges, resale market value etc. for tax and regulatory purposes.

9.3.4 Perform financial reporting (10750)

Reporting on the organization's financial status to stakeholders. Include balance sheets, income statements, cash flow statements, and statements of shareholders' equity.

9.3.4.1 Prepare business unit financial statements (10837)

Making reports of subsidiaries units to show profits generated from them. Prepare financial statements (balance sheets, income statements, cash flow statements and statements of shareholders' equity) for a single unit of a business.

9.3.4.2 Prepare consolidated financial statements (10838)

Making final accounts for all units of company together. Prepare combined financial statements of a parent company and its subsidiaries (i.e., separate legal entities controlled by a parent company) showing assets, liabilities, equity, income, expenses, and cash flows.

9.3.4.3 Perform business unit reporting/review management reports (10839)

Making reports for units/subsidiaries to help management in decision making. Prepare financial statements (balance sheets, income statements, cash flow statements, and statements of shareholders' equity) for a single unit of a business. Break down profits and losses by function/unit, clients, products, and region.

9.3.4.4 Perform consolidated reporting/review of cost management reports (10840)

Making reports for all units to help higher management in decision making. Prepare combined financial statements of a parent company and its all subsidiaries (separate legal entities controlled by a parent company) showing assets, liabilities, equity, income, expenses and cash flows, and also going through periodic reports which shows the actual and estimated costs and their variances.

9.3.4.5 Prepare statements for board review (10841)

Preparing a draft of financial statements for the board to review before they are sent to the auditor.

9.3.4.6 Produce quarterly/annual filings and shareholder reports (10842)

Making and presenting financial reports to stakeholders. Create annual and quarterly financial statements for reporting purposes. Prepare shareholder reports with details of the profit-and-loss account, balance sheet, and past year's business activities.

9.3.4.7 Produce regulatory reports (10843)

Reporting raw or summary data for final accounts following rules and regulations.

9.3.4.8 Perform legal and management consolidation (14074)

Carrying out activities associated with legal and management consolidation. Legal consolidation can include currency conversion, balance carry forward, and consolidation of journal entries. Management consolidation can include reporting on financials on a reporting cycle basis to gauge the performance of the organization.

9.4 Manage fixed-asset project accounting (10731)

Managing accounts for large funds-invested projects. Manage and account for fixed assets projects (capital projects), which required significant capital investments over many years.

Suggested KPIs

Metric ID	KPI
101161	Number of FTEs that perform the process group "manage fixed-asset project accounting" per \$1 billion revenue
106275	Total cost to perform the process group "manage fixed-asset project accounting" per \$1,000 revenue

9.4.1 Perform capital planning and project approval (10751)

Preparing a project finance report to solicit approvals in capital projects. Prepare budgets for projects that require heavy investments. Report on project finances to solicit approvals from management.

9.4.1.1 Develop capital investment policies and procedures (10844)

Creating procedures and policies to follow for investing in capital projects. Create rules and regulations regarding large investment plans, which require in-depth forecasting for expenditure and revenue.

9.4.1.2 Develop and approve capital expenditure plans and budgets (10845)

Creating budgets and soliciting approvals for capital projects. Prepare budgets for projects that require heavy investments. Secure approvals from management.

9.4.1.3 Review and approve capital projects and fixed-asset acquisitions (10846)

Evaluating and supporting capital investments in projects and fixed assets. Confirm details of capital projects. Secure approvals from managements for large investments.

9.4.1.4 Conduct financial justification for project approval (10847)

Reviewing all project business cases in order to substantiate projected financial gains. Validate any project's business case. Juxtapose the benefits derived from moving a project forward against the associated costs.

9.4.2 Perform capital project accounting (10752)

Accounting for large-scale and large-cost investments. Manage and account for ongoing activities related to capital projects, including setting up new projects, recording project transactions, monitoring and tracking spending, closing and capitalizing projects, and measuring the financial returns on completed projects.

9.4.2.1 Create project account codes (10848)

Giving reference codes for every project.

9.4.2.2 Record project-related transactions (10849)

Noting every transaction during a project in a common financial database. Document all transactions associated with any project. Maintain a centralized repository of all such financial data.

9.4.2.3 Monitor and track capital projects and budget spending (10850)

Evaluating project progress and funds invested. Observe and track significant funds invested on any long-term project. Compare to budget.

9.4.2.4 Close/capitalize projects (10851)

Checking for returns generated from projects for decision making. Evaluate capital projects that require heavy investments. Decide whether to proceed based on the revenues generated.

9.4.2.5 Measure financial returns on completed capital projects (10852)

Comparing a finished project's profitability with forecasted returns. Scrutinize revenues generated by completed projects that required heavy investments. Determine profitability.

9.5 Process payroll (10732)

Handling reporting time, managing pay, and processing taxes from salaries. Pay employees. Withhold taxes. Confirm the correct funds are paid to the correct government agency.

Suggested KPIs

Metric ID	KPI
100152	Cycle time in business days to process the payroll
100920	Number of employees paid per FTE that performs the process group "process payroll"
101106	Number of FTEs that perform the process group "process payroll" per \$1 billion revenue
101370	Number of payroll disbursements processed per FTE that performs the process "manage pay"
101422	Number of time records processed per FTE that performs the process "report time"
101958	Percentage of employees receiving payroll disbursements via direct deposit
102848	Personnel cost to perform the process group "process payroll" per \$1,000 revenue
103736	Total cost to perform the process "manage pay" per \$1,000 revenue
103739	Total cost to perform the process "manage pay" per employee paid
103883	Total cost to perform the process "process payroll taxes" per \$1,000 revenue
103885	Total cost to perform the process "process payroll taxes" per employee paid
103887	Total cost to perform the process "report time" per \$1,000 revenue
103890	Total cost to perform the process "report time" per employee paid
103945	Total cost to perform the process group "process payroll" per \$1,000 revenue
103950	Total cost to perform the process group "process payroll" per employee paid

9.5.1 Report time (10753)

Recording the reporting time of employees on-site. Track working days, salary calculations, holidays taken, number of hours spend in the office, billing hours, etc.

9.5.1.1 Establish policies and procedures (10853)

Developing policies and procedures for the HR function to calculate compensation.

9.5.1.2 Collect and record employee time worked (10854)

Tracking billing hours of each employee on daily basis.

9.5.1.3 Analyze and report paid and unpaid leave (10855)

Tracking leaves allowed and taken by employees.

9.5.1.4 Monitor regular, overtime, and other hours (10856)

Observing the number of hours worked by an employees on daily basis. Track the number of hours worked by an employee, as well as the number of hours worked beyond normal working hour's according to company standards.

9.5.1.5 Analyze and report employee utilization (10857)

Monitoring the number of productive hours for employees.

9.5.2 Manage pay (10754)

Managing the total payments made in employees payroll, including bonuses and compensation.

9.5.2.1 Enter employee time worked into payroll system (10858)

Tracking the number of hours worked for the payroll system. Register the number of hours worked by an employee into the payroll system for the purpose of calculating salaries or wages.

9.5.2.2 Maintain and administer employee earnings information (10859)

Tracking and oversee salary breakups of employees. This process requires the organization to manage and update information pertaining to the structure of every employee's salary. This would involve the updating any changes to the salary structures of the employees, in a central repository which can be accessed by pertinent departments.

9.5.2.3 Maintain and administer applicable deductions (10860)

Processing salary deductions for tax purposes. Keep and manage the details of every employee's salary deductions based on their expenses and investments during the year.

9.5.2.4 Monitor changes in tax status of employees (10861)

Tracking changes in the salary structure of employees for tax deductions.

9.5.2.5 Process and distribute payments (10862)

Processing and distributing salaries to all employees. Execute the payroll management function through the dispensation of employee salaries. Leverage a centralized database of all payroll expenses.

9.5.2.6 Process and distribute manual checks (10863)

Handling incorrect/omitted salary payments.

9.5.2.7 Process period-end adjustments (10864)

Adjusting salary deductions for tax purposes at the end of the year.

9.5.2.8 Respond to employee payroll inquiries (10865)

Addressing salary-related queries raised by employees.

9.5.3 Manage and process payroll taxes (10755)

Deducting and paying taxes from employees' salaries.

9.5.3.1 Develop tax plan (14075)

Devising a method to minimize payroll tax liability by means of allowances, deductions, exclusions or exemptions.

9.5.3.2 Manage tax plan (14076)

Overseeing maintaining the reduction of payroll taxes [14075].

9.5.3.3 Calculate and pay applicable payroll taxes (10866)

Paying tax according to appropriate deductions made from salaries. Calculate and pay the tax liabilities according to the salaries and tax regulations of employees with the help of certified chartered accountants.

9.5.3.4 Produce and distribute employee annual tax statements (10867)

Providing tax deductions statements created by certified chartered accountants to every employee for their reference or refunds.

9.5.3.5 File regulatory payroll tax forms (10868)

Filing taxes and highlighting different sources of income and expenditures made.

9.6 Process accounts payable and expense reimbursements (10733)

Handling bills and reimbursements to be made. Make payments for goods or services taken or used on behalf of the organization.

Suggested KPIs

Metric ID	KPI
100154	Cycle time in days from receipt of invoice until approved and scheduled for payment
100575	Cycle time in days from receipt of invoice until payment is transmitted
100587	Cycle time in days to approve and schedule T&E reimbursements
100636	Cycle time in hours from receipt of invoice until data entered into the system
100917	Number of disbursements per FTE that performs the process "process accounts payable (AP)"
100952	Number of expense report line items per FTE that performs the process "process expense reimbursements"
101108	Number of FTEs that perform the process "process accounts payable (AP)" per \$1 billion revenue
101095	Number of FTEs that perform the process group "process accounts payable and expense reimbursements" per \$1 billion revenue
101290	Number of invoice line items processed per FTE that performs the process "process accounts payable (AP)"
101419	Number of T&E disbursements per "process expense reimbursements" FTE
101944	Percentage of disbursements that are first time error free
101995	Percentage of expense report exception line items
102139	Percentage of invoice line items paid on time by the business entity
102149	Percentage of invoice line items that are matched the first time
102146	Percentage of invoice line items received electronically
101947	Percentage of discounts available that are taken
103971	Total cost to perform the process group "process accounts payable and expense reimbursements" per \$1,000 revenue
103831	Total cost to perform the process "process accounts payable (AP)" per \$1,000 revenue
103835	Total cost to perform the process "process accounts payable (AP)" per disbursement/payment
103838	Total cost to perform the process "process accounts payable (AP)" per invoice line item processed
100451	Total cost to perform the process "process accounts payable (AP)" per invoice processed
103863	Total cost to perform the process "process expense reimbursements" as a percentage of revenue
103869	Total cost to perform the process "process expense reimbursements" per \$1,000 revenue
103866	Total cost to perform the process "Process expense reimbursements" per \$1,000 of T&E expenditures
103873	Total cost to perform the process "process expense reimbursements" per T&E disbursement

9.6.1 Process accounts payable (AP) (10756)

Processing payments of operating expenses and other supplier charges. This includes the development of policies and procedures around processing of accounts payable and all operations. This process is often supported by key technology enablers.

9.6.1.1 Verify AP pay file with purchase order vendor master file (10869)

Matching records of bills to be paid with accounts. Check accounts payable entries with vendor's account for every payment made.

9.6.1.2 Maintain/Manage electronic commerce (10870)

Tracking all online transactions.

9.6.1.3 Audit invoices and key data in AP system (10871)

Monitoring and evaluating bills registered in accounts books. Check all invoices. Maintain records.

9.6.1.4 Approve payments (10872)

Processing payments for products/services.

9.6.1.5 Process financial accruals and reversals (10873)

Handling transactions for accruals and reversals. Record transactions in the books of accounts on an accrual basis (irrespective of the actual cash flow) and reversals basis (cancel out the adjusting entries) for balancing accounts.

9.6.1.6 Process payables taxes (10874)

Filing the amount of taxes that a company owes as of the balance sheet date. Prepare tax returns, including the income tax filing for an individual or business entity from earnings.

9.6.1.7 Research/Resolve payable exceptions (10875)

Resolving any atypical or inconsistent situation concerning payments to be made by the organization. Address any exceptional case of accounts payable on an ad hoc basis, by seeking counsel or carrying out any necessary research.

9.6.1.8 Process payments (10876)

Making payments for products/services on due dates (payment cycle) decided by parties involved.

9.6.1.9 Respond to AP inquiries (10877)

Clarifying or address queries relating to the particulars of AP such as date, discounts, amount, and installments. Coordinate with concerned parties about the fulfillment of bills payable.

9.6.1.10 Retain records (10878)

Keeping bills of every transaction for future reference.

9.6.1.11 Adjust accounting records (10879)

Rectifying for alterations occurred in accounts while recording.

9.6.2 Process expense reimbursements (10757)

Processing reimbursements to employees for the expenses incurred during the course of business. Approve and process advancements and reimbursements for employee expenses on the organization's behalf. Capture and report relevant tax data and manage personal accounts.

9.6.2.1 Establish and communicate expense reimbursement policies and approval limits (10880)

Explaining policies and procedures related to reimbursements requests by employees. Set policies regarding reimbursement process and amount limits etc. Inform employees.

9.6.2.2 Capture and report relevant tax data (10881)

Collecting and reporting all pertinent information regarding the taxes paid by the organization's employees.

9.6.2.3 Approve reimbursements and advances (10882)

Permitting expense reimbursement requests from employees.

9.6.2.4 Process reimbursements and advances (10883)

Paying for expense reimbursement requests from employees. (Follow Approve reimbursements and advances [10882] according to policies and conditions.)

9.6.2.5 Manage personnel accounts (10884)

Maintaining accounts of individuals who are connected with business.

9.6.3 Manage corporate credit cards (20929)

Handling and authoring credit cards to business entities or for corporate purchases.

9.6.3.1 Establish corporate credit card policies and approval limits (20930)

Developing procedures for using company credit cards. Set or approve credit limits.

9.6.3.2 Process corporate credit card requests (20931)

Handling applications credit card applications for business expenses.

9.6.3.3 Order corporate credit cards (20932)

Obtaining credit cards for business-related expenses.

9.6.3.4 Manage corporate credit card accounts (20933)

Handling credit card accounts of business customers.

9.6.3.5 Approve/Change credit limits (20934)

Authorizing changes to the available credit advances.

9.6.3.6 Cancel/Deactivate credit card (20935)

Blocking an existing credit card to disable all future transactions.

9.7 Manage treasury operations (10734)

Managing business's investments in trading in bonds, currencies, financial derivatives, etc. Manage the financial assets and holdings of the organization. Optimize the organization's liquidity. Invest excess cash. Reduce financial risks.

Suggested KPIs

Metric ID	KPI
101167	Number of FTEs that perform the process group "manage treasury operations" per \$1 billion revenue
104893	Total cost to perform the process group "manage treasury operations" per \$1,000 revenue

9.7.1 Manage treasury policies and procedures (10758)

Managing rules and regulations for investments in trading in bonds, currencies, financial derivatives, etc. Establish policies and procedures for investments made. Optimize liquidity in treasury operations.

9.7.1.1 Establish scope and governance of treasury operations (10885)

Selecting opportunities and the authoritative body for investments in trading in bonds, currencies, financial derivatives, etc.

9.7.1.2 Establish and publish treasury policies (10886)

Creating and providing investment regulations for the organization. Establish policies and procedures for investments to optimize liquidity in treasury operations. Create a written copy of it.

9.7.1.3 Develop treasury procedures (10887)

Making processes for investing. Create steps for investments in bonds, currencies, and financial derivatives in order to optimize company's liquidity, invest excess cash, and reduce its financial risks.

9.7.1.4 Monitor treasury procedures (10888)

Checking treasury processes in order to optimize company's liquidity, invest excess cash, and reduce its financial risks.

9.7.1.5 Audit treasury procedures (10889)

Auditing the treasury function.

9.7.1.6 Revise treasury procedures (10890)

Reassessing all treasury procedures based on audit findings.

9.7.1.7 Develop and confirm internal controls for treasury (10891)

Creating and managing the internal control systems for investments in bonds, currencies, and financial derivatives to verify procedures.

9.7.1.8 Define treasury security requirements (10892)

Describing the need of treasury security requirements for controlling access, reliability of information, accountability, and availability of information in the organization.

9.7.2 Manage cash (10759)

Taking care of all cash-related activities in the business. Manage and reconcile cash positions. Manage cash equivalents. Process and oversee electronic fund transfers. Develop cash flow forecasts. Manage cash flows. Produce cash management accounting transactions and reports. Manage and oversee banking relationships. Analyze, negotiate, resolve, and confirm bank fees.

9.7.2.1 Manage and reconcile cash positions (10893)

Correcting cash differences in the books of accounts. Make optimum utilization of funds available in the business. Check for differences to rectify.

9.7.2.2 Manage cash equivalents (10894)

Taking care of all cash-related activities in the business. Utilize short-term assets that can be easily convertible into cash, such as marketable securities, commercial paper and short-term government bonds, and treasury bills.

9.7.2.3 Process and oversee electronic fund transfers (EFTs) (10895)

Supervising all online transactions.

9.7.2.4 Develop cash flow forecasts (10896)

Preparing forecasts for the cash generated or used by the organization.

9.7.2.5 Manage cash flows (10897)

Delaying the outflow of funds as long as possible, but encourage the inflow of as fast as possible.

9.7.2.6 Produce cash management accounting transactions and reports (10898)

Presenting reports on all cash-related activities. Collect and manage short-term investing activities. Prepare reports of all transactions done.

9.7.2.7 Manage and oversee banking relationships (10899)

Maintaining and directing the course of relationships with banking partners.

9.7.2.8 Analyze, negotiate, resolve, and confirm bank fees (10900)

Studying and finalizing bank fees for services provided by banks. Negotiate and finalize nominal fees that bank charges for various services, such as requesting a deposit slip or counter check or certifying papers.

9.7.3 Manage in-house bank accounts (10760)

Managing financial services provided by an in-house bank structure in the corporation that is operating like a commercial bank.

9.7.3.1 Manage in-house bank accounts for subsidiaries (10901)

Maintaining subsidiaries' company accounts opened with bank inside the corporation. Manage different financial services provided by in-house bank structure for parent companies' subsidiaries or branches.

9.7.3.2 Manage and facilitate inter-company borrowing transactions (10902)

Arranging loans for subsidiaries from in-house banks.

9.7.3.3 Manage centralized outgoing payments on behalf of subsidiaries (10903)

Handling payments made for subsidiaries by parent company.

9.7.3.4 Manage central incoming payments on behalf of subsidiaries (10904)

Handling payments received by parent company for subsidiaries.

9.7.3.5 Manage internal payments and netting transactions (10905)

Taking care of all business outflows and recording as whole. Manage making all payments for the organization and its units or subsidiaries. Track in books of accounts of parent company.

9.7.3.6 Calculate interest and fees for in-house bank accounts (10906)

Computing all expenses paid to and receivables collected over the organization's banking activity. Calculate all charges and receivables, towards interest, fees, and any other payments over its own bank accounts. Record transactions in the books of accounts.

9.7.3.7 Provide account statements for in-house bank accounts (10907)

Facilitating account statements for all in-house banking activity.

9.7.4 Manage debt and investment (10761)

Taking care of the organization's financial position. Manage its loans or debts from different sources and investments. Leverage the most profitable options to balance the financial position in the market.

9.7.4.1 Establish investment policy (14079)

Developing and instituting principles that the organization will use in making investments.

9.7.4.2 Manage financial intermediary relationships (10908)

Maintaining smooth relations with financial investment banks that help availing loans and services.

9.7.4.3 Manage liquidity (10909)

Managing and maintaining enough liquidity in form of cash and cash equivalents in the business to meet urgent and timely requirements

9.7.4.4 Manage issuer exposure (10910)

Managing the exposure incurred by the issuer for providing credit to the borrower.

9.7.4.5 Process and oversee debt and investment transactions (10911)

Tracking loans taken and money invested in different options. Arrange and supervise loans from banks and individuals and investments in different available and profitable options.

9.7.4.6 Process and oversee foreign currency transactions (10912)

Arranging and supervising foreign exchange rate changes to avoid loss on foreign-currency transactions.

9.7.4.7 Produce debt and investment accounting transaction reports (10913)

Creating transactions report of loans and investments. Prepare and maintain records of loans and investment transactions.

9.7.4.8 Process and oversee interest rate transactions (14210)

Supervising the interest paid or received by the organization. Arrange and supervise interest rate swap transactions to manage exposure to fluctuations in interest rates. Or attain a marginally lower rate of interest than could be gained through a swap.

9.7.5 Monitor and execute risk and hedging transactions (11208)

Performing transactions that limit investment risk with the help of derivatives, such as options and futures contracts. Manage interest rates, foreign exchange, and exposure risks. Develop and execute hedging transactions. Evaluate and refine hedging positions. Produce hedge accounting transactions and reports. Monitor credit.

9.7.5.1 Develop risk management/hedging strategy (12974)

Taking an investment position to offset exposure to certain risks. This may include purchasing opposite of the organization's position in the marketplace, using derivatives transactions, or futures contracts.

9.7.5.2 Manage interest rate risk (11209)

Handling risks arising from changes in the interest rate.

9.7.5.2.1 Manage interest rate market data (19575)

Collecting and storing data that pertains to interest rate markets.

9.7.5.2.2 Determine interest rate exposure for all markets (19576)

Identifying potential interest rate risks for all markets.

9.7.5.2.3 Determine interest rate hedge requirements in accordance with risk policy (19577)

Deciding the requirements on interest rate investments that are made by trading in futures or options market, on the basis of the accepted risk policy.

9.7.5.2.4 Execute interest rate trades (19578)

Performing trading on interest rates.

9.7.5.3 Manage foreign exchange risk (11210)

Taking care of foreign-exchange risks.

9.7.5.3.1 Manage foreign exchange market data (19579)

Handling and processing information about changes in foreign exchange rates.

9.7.5.3.2 Determine foreign exchange exposure for all currencies (19580)

Establishing potential foreign exchange risks for all currencies.

9.7.5.3.3 Determine foreign exchange hedge requirements in accordance with risk policy (19581)

Deciding the requirements on investments in foreign exchange made by trading in futures or options market, on the basis of current risk policy.

9.7.5.3.4 Execute foreign exchange trades (19582)

Executing all aspects for foreign exchange trade within foreign exchange market. This includes buying, selling, and exchanging currencies at the current or expressed price point.

9.7.5.3.5 Manage foreign exchange balance sheet risk (19583)

Overseeing the foreign exchange balance sheet with an eye towards potential risk. Risks include changes in conversion rates between the time the transaction occurred and when it is completed, or when transactions are made in a denomination other than that of the organization's base currency.

9.7.5.4 Manage exposure risk (11211)

Taking care of exposure risks. Maintain financial investments in particular investments or a portfolios that could be risky for the organization.

9.7.5.4.1 Determine current customer exposures and limit exceptions (19584)

Establishing ongoing risks that the customers face, and the exceptions to exceeded limits.

9.7.5.4.2 Resolve customer exposure limit violations (19585)

Settling cases that involve violations of customer exposure limit.

9.7.5.4.3 Manage customer collateral (19586)

Handling customer securities to recover loans that are not paid back.

9.7.5.4.4 Perform annual customer credit reviews (19587)

Conducting reviews to assess customer credit on a yearly basis. Introduce changes or make recommendations, if needed.

9.7.5.5 Execute hedging transactions (20137)

Implementing hedging strategy in attempt to alleviate risk. This will include all options, depravities, and futures contracts agreed upon in Develop risk management/hedging strategy [12974].

9.7.5.5.1 Measure physical positions (19588)

Evaluating investments made in some market to offset the risks of investing in a contrary or opposing market.

9.7.5.5.2 Establish hedges (19589)

Determining which hedge options to execute.

9.7.5.5.3 Unwind hedges (19590)

Closing out a position or cashing in derivatives early.

9.7.5.5.4 Evaluate and refine hedging positions (11213)

Examining options in the market for hedging investments. Select an option.

9.7.5.5.5 Monitor credit (11215)

Revising credit reports periodically for accurateness and changes that could be suggestive of duplicitous activity.

9.7.5.6 Produce hedge accounting transactions and reports (11214)

Preparing and documenting accounts and records of all hedging investment transactions to reduce risks due to change in markets.

9.7.6 Manage financial fraud/dispute cases (16958)

Handling cases that involve financial fraud. Resolve disputes.

9.8 Manage internal controls (10735)	
Administering internal controls. This process requires the organization to manage entity's board of trustees, management, and other personnel in order to offer judicious assurance about the achievement of effectiveness, proficiency of operations, and reliability of financial reporting.	
Suggested KPIs	
Metric ID	KPI
100140	Cycle time in calendar days (including weekends) from identification of change in risk until changes to risk management policies and procedures are completed and ready for deployment/communication/implementation by the business entity
100144	Cycle time in calendar days (including weekends) from the identification of a control violation until the violation is reported/communicated to the control or process owner
100148	Cycle time in days from reporting of a control violation until investigation is completed and remediation steps/control changes are developed
101018	Number of FTEs that perform the process "establish internal controls, policies, and procedures" per \$1 billion revenue
101070	Number of FTEs that perform the process "operate controls and monitor compliance with internal controls policies and procedures" per \$1 billion revenue
101125	Number of FTEs that perform the process "report on internal controls compliance" per \$1 billion revenue
102392	Percentage of primary controls that are automated
103673	Total cost to perform the process "establish internal controls, policies, and procedures" per \$1,000 revenue
104016	Total cost to perform the process group "manage internal controls" per \$1,000 revenue

9.8.1 Establish internal controls, policies, and procedures (10762)

Forming rules and regulations to ensure the achievement of effectiveness, proficiency of operations, and reliability of financial reporting.

9.8.1.1 Establish board of directors and audit committee (10914)

Establishing board of directors and auditing committee in order to assign roles and responsibilities for internal controls.

9.8.1.2 Define and communicate code of ethics (10915)

Outlining and communicating a code of ethics act responsibly.

9.8.1.3 Assign roles and responsibility for internal controls (10916)

Defining roles, responsibilities, and accountabilities for effectiveness and proficiency of operations and reliability of financial reporting.

9.8.1.4 Define business process objectives and risks (11250)

Outlining the objectives and risks associated with a process. Delineate process goals. Determine the risks attached to it. Determine what the process is meant to accomplish, potential issues, a timeline of potential risks, the scope and potential impact of risks, etc.

9.8.1.5 Define entity/unit risk tolerances (11251)

Outlining the risk tolerance levels of individual units, as well as the organization as a whole. Determine the specific maximum risk to take in quantitative terms for each relevant risk subcategory, including strategic, operational, financial, and compliance risks.

9.8.2 Operate controls and monitor compliance with internal controls policies and procedures (21574)

Performing planning, management, operations, and monitoring of internal control mechanism policies and procedures in order to manage internal controls.

9.8.2.1 Monitor control effectiveness (10918)

Overseeing the activities for internal controls. Observe the effectiveness of policies, procedures, techniques, and mechanisms actions taken to minimize risk.

9.8.2.2 Remediate control deficiencies (10919)

Taking corrective measures for policies, procedures, techniques, and mechanisms actions taken to minimize risk. (Conduct in accordance with Monitor control effectiveness [10918] in order to determine and rectify the control deficiencies.)

9.8.3 Report on internal controls compliance (10764)

Reporting on internal controls compliance to the appropriate authority, including IT regulations and pertinent data.

9.8.3.1 Report to external auditors (10923)

Reporting to external auditors. This process requires the organization to report to external auditors about the regulations for any critical data that the organization is holding.

9.8.3.2 Report to regulators, share-/debt-holders, securities exchanges, etc. (10924)

Reporting to regulators, shareholders, debt holders, securities exchanges, etc. about IT regulations and pertinent data.

9.8.3.3 Report to third parties (10925)

Reporting to suppliers, customers, and partners that are doing business with the company about IT regulations and pertinent data.

9.8.3.4 Report to internal management (10926)

Reporting to internal management (all employees, directors, and management) about IT regulations and pertinent data.

9.9 Manage taxes (10736)

Estimating the organization's periodic tax liabilities. Ensure that appropriate taxing authorities receive tax return filings and payments when due.

Suggested KPIs

Metric ID	KPI
101165	Number of FTEs that perform the process group "manage taxes" per \$1 billion revenue
104894	Total cost to perform the process group "manage taxes" per \$1,000 revenue

9.9.1 Develop tax strategy and plan (10765)

Setting targets for periodic tax liabilities. Assess the tax impact of various activities such as the acquisition or disposal of fixed assets or a deliberate change in number of employee.

9.9.1.1 Develop foreign, national, state, and local tax strategy (10927)

Developing a tax strategy for foreign, national, state, local administration. Set up tax strategies for foreign trade in imports and exports and at national, state, and local level.

9.9.1.2 Consolidate and optimize total tax plan (10928)

Combining and enhancing a rational analysis of a financial condition or plan from a tax perspective in order to align financial goals through efficient tax planning.

9.9.1.3 Maintain tax master data (10929)

Maintaining a master file about the rational analysis of a financial condition or plan from a tax perspective in order to align financial goals through efficient tax planning.

9.9.2 Process taxes (10766)

Processing the taxes of the organization in line with the regional taxation structure, including corporate, property, excise, and service taxes.

9.9.2.1 Perform tax planning/strategy (10930)

Creating and implementing strategies for taxes to be paid or collected by the business.

9.9.2.2 Prepare tax returns (10931)

Preparing and submitting tax reports for every employee to the tax department in order to show the tax paid and deducted from their salaries in the year.

9.9.2.3 Prepare foreign taxes (10932)

Preparing reports about paid or accrued foreign taxes to an overseas country.

9.9.2.4 Calculate deferred taxes (10933)

Calculating the income that has been realized when the tax on that income has not.

9.9.2.5 Account for taxes (10934)

Managing the organization's financial accounts for the purpose of taxation. Prepare and maintain the tax paid by the organization to the country they have business in.

9.9.2.6 Monitor tax compliance (10935)

Checking and correcting the tax policies according to the rules and regulations set by the organization.

9.9.2.7 Address tax inquiries (10936)

Addressing any tax queries by any regulatory or government authorities. Review historical records related to taxation within the organization in order to respond to queries.

9.10 Manage international funds/consolidation (10737)

Managing cash collections and disbursements made by operating units across the enterprise. When appropriate, transfer cash from the operating units to parent-level bank accounts managed by the organization's treasury team.

9.10.1 Monitor international rates (10767)

Forecasting and monitoring changes in foreign currency value or interest rates around the world that play an important role in the organization.

9.10.2 Manage transactions (10768)

Managing any transfer of funds in the course of conducting cross-border trades or investments, including conversion across currencies. Find the most suitable alternative for making payments, while saving taxes and avoiding any unwarranted regulation, with the objective of protecting capital.

9.10.3 Monitor currency exposure/hedge currency (10769)

Assessing exposure to potential financial losses as a result of changes in the value of currencies. Forecast the impact of movements in foreign currency values. Enter into financial transactions designed to offset or limit potential exposure to loss.

9.10.4 Report results (10770)

Documenting and reporting accounting entries to formally report financial gains or losses experienced as a result of foreign exchange activity.

9.11 Perform global trade services (17059)

Making and collecting payments for transactions in products/services, and transporting them to interested markets.

9.11.1 Screen sanctioned party list (14090)

Evaluating the approved list of parties for engaging in international trade in order to ensure the safety of the organization's business transactions. Examine agents that have been granted legal rights to engage in global trade and their credentials.

9.11.2 Control exports and imports (14091)

Overseeing and directing the flow of trade to/from the organization in order to ensure financial gains.

9.11.3 Classify products (14092)

Systematically categorizing products/services for their suitability to international trade. Create classes and categories for demarcating the types of products suitable for international trade. Study requisite national and international standards and the adherence of the organization's portfolio of offerings to these.

9.11.4 Perform currency conversion (19593)

Identifying current exchange rates between two currencies and converting the foreign currency to that of the local monetary unit. I.E., yen to US dollar.

9.11.5 Calculate duty (14093)

Computing the excise duty to be paid during international trade.

9.11.6 Communicate with customs (14094)

Communicating with the customs department to ensure fluid compliance. Share pertinent information mandated by law with the government agency that controls and collects the duties levied for the international exchange of products/services.

9.11.7 Document trade (14095)

Documenting and recording the trade processes while making transactions, noting the description, quality, number, transportation medium, indemnity, and inspection.

9.11.8 Process trade preferences (14096)

Preparing global trade under preference, which allows the organization to import/export products at a lower or nil rate of customs duty and/or levy charge.

9.11.9 Handle restitution (14097)

Administering and overseeing all restitution activities the organization may be subjected to. Manage compliance with apposite legal frameworks. Make any restitution that may be required by law; comply with authorities over any fines or non-financial measures imposed.

9.11.10 Prepare letter of credit (14098)

Creating a document assuring that a seller will receive payment when certain delivery conditions are met. (If the buyer is unable to make payment on the purchase, a bank covers the outstanding amount.)

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The Framework for Process Improvement

Experience shows that the potential of benchmarking to drive dramatic improvement lies squarely in making out-of-the-box comparisons and searching for insights not typically found within intra-industry paradigms. To enable this beneficial benchmarking, the PCF serves as a high-level, industry-neutral enterprise process model that allows organizations to see their business processes from a cross-industry viewpoint.

The PCF enables organizations to understand their inner workings from a horizontal process perspective, rather than a vertical functional viewpoint. The PCF does not list all processes within a specific organization, and every process listed in the framework is not present in every organization.

Originally created in 1992 by APQC and a group of members, the framework has experienced more than twenty years of creative use by thousands of organizations worldwide. The PCF is supported by APQC's Open Standards Benchmarking research. It is continuously enhanced as APQC's Open Standards Benchmarking team further develops definitions, processes, and measures. Please visit APQC's web site periodically for updates. The PCF is available for organizations of all industries and sizes at no charge by visiting <http://www.apqc.org/pcf>.

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